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Tentative Ruling

Amiran v. Tesla, Case no. 26VECV01225

Hearing date July 7, 2026

Defendant

Tesla's Motion to Compel Arbitration

Plaintiffs

Amirian and Nazarian sue defendant Tesla, Inc., alleging violations of the Song-Beverly Act. Defendant moves to compel arbitration. Plaintiffs oppose.

Defendant

requests judicial notice of plaintiffs' complaint. GRANTED. Ev. Code §452(d).

California

public policy strongly favors arbitration. Code Civ. Proc. §1280 et seq., Madden v. Kaiser Found. Hosps. (1976) 17 Cal.3d 699, 706. Under the California Arbitration Act, where there is a valid written agreement to arbitrate, arbitration is mandatory. Code Civ. Proc. §1281.2. The opposing party bears the burden of proving any defense to arbitrability, including unconscionability. See Pinnacle Museum Tower Ass'n. v. Pinnacle Mkt. Dev. (US), LLC (2012) 55 Cal.4th 223, 236. "[T]he doctrine of unconscionability has both a procedural and substantive element, the former focusing on oppression or surprise due to unequal bargaining power, the latter on overly harsh or one-sided results." See Sanchez v. Valencia Holding Co., LLC (2015) 61 Cal. 4th 899, 910.

The

Federal Arbitration Act (“FAA”) codifies strong federal policy favoring arbitration, making an arbitration agreement in the Terms of Service “valid, irrevocable, and enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract...” 9 U.S.C. §2. “Courts must ‘rigorously enforce’ arbitration agreements according to their terms...” *Am. Exp. Co. v. Italian Colors Rest.* (2013) 570 U.S. 228, 233.

Plaintiffs

leased a 2023 Tesla Model Y, VIN 7SAYGDEE4PF965856, on 12/26/23. Decl. Kim, para. 3. The lease included a binding arbitration clause pursuant to 9 U.S.C. §2 and the American Arbitration Association (“AAA”).

Plaintiffs

argue procedural and substantive unconscionability. Procedural unconscionability concerns the manner in which the contract was negotiated and respective circumstances of the parties, focusing on any oppression or surprise involved in the agreement. See *Kinney v. United Healthcare Services, Inc.* (1999) 70 Cal.App.4th 1322, 1329. Substantive unconscionability exists when the contract terms are unduly harsh, oppressive, or one-sided and outside the expectations of non-drafting party. See *Sanchez v. Valencia Holdings, LLC* (2015) 61 Cal.4th 899. For a contract to be invalidated based on unconscionability, opposing party must show procedural and substantive unconscionability are present. *Armendariz v. Fdtn. Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 114.

Plaintiffs

argue the agreement was pre-drafted and did not give plaintiffs an opportunity to negotiate, and Tesla failed to provide a copy of the relevant arbitration rules. Plaintiffs assert this constitutes procedural unconscionability.

Case

law has held failure to attach AAA rules to arbitration agreement does not render the agreement procedurally unconscionable because the rules are easily accessible on the internet, and plaintiff did not lack means or capacity to retrieve them. *Lane v. Francis Capital Mgmt. LLC* (2014) 224 Cal.App.4th 676, 691-692. Further, “[i]n general, nothing prevents

purchasers of ... vehicles from bargaining with dealers, even though dealers use form contracts, and nothing in the record shows that plaintiff could not bargain in this case." Sanchez, *supra*, at 931. Plaintiffs' decision to lease the vehicle was volitional; they had the opportunity to opt-out of the arbitration clause but did not. See Decl. Kim, para. 8., exh. 1. Plaintiffs fail to show procedural unconscionability.

Plaintiffs

assert substantive unconscionability, as the arbitration provisions give defendant sole discretion in selecting the arbitrator and unfairly apportion cost. This argument is unavailing; the AAA rules set guidelines for selection of neutral arbiters. See *Chavarria v. Ralphs Grocery Co.* (9th Cir. 2013) 733 F.3d 916, 923. Further, while plaintiffs assert substantive unfairness as to costs, they offers no specific facts or arguments regarding financial hardship. Plaintiffs fail to show substantive unconscionability.

A

binding arbitration agreement exists, and plaintiffs failed to exercise the opt-out provision. California favors arbitration. GRANTED; the parties are ordered to binding arbitration pursuant to the terms of the lease agreement.